

Trade Unions - The Foundation Track

Chapter F2.2 — From Zero: The Trade Unions Act 1926, the Industrial Relations Code, Recognition, and the Right to Strike

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NOTE · HOW TO USE THIS DOCUMENT

The Trade Unions Act 1926 is a short statute that produces a disproportionate number of questions, and the verified 2023 paper took at least three from this chapter alone - the nature of registration, the nature of the right to strike, and a matching question on Central trade union federations and their political affiliations. This chapter teaches why unions needed a statute at all (the answer is the criminal conspiracy doctrine and a Madras injunction in 1918), then works through registration, the immunities, the office-bearer rule, and the one thing the 1926 Act conspicuously does NOT provide for - recognition - which the Industrial Relations Code 2020 finally supplies through the negotiating union and negotiating council. Study time 5 hours across five sessions.

This is the FOUNDATION layer. Old-Act and Code provisions are given as pairs. Trade union figures and the political affiliations in Section 5 are as generally understood and are stable, but membership rankings change and are not relied upon here.

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0. Why This Chapter Earns More Than Its Length Suggests

Two pages of statute, three questions in one paper. This is among the best marks-per-page in the manual.

PYQ CONNECTION · WHAT THE 2023 PAPER ACTUALLY TOOK FROM THIS CHAPTER

PYQ-DERIVED, from the verified paper:

- 1 **Q27** - a matching question pairing **Central Trade Union Federations with political parties**
- 2 **Q114** - "Registration of trade unions of workers under the Trade Unions Act, 1926 is..." - testing whether you know it is **voluntary**
- 3 **Q115** - "The Right of workers to resort to strike is the..." - testing **statutory versus fundamental**
- 4 **Q113** - a scenario with **five trade unions** in one establishment, which is a recognition and support-threshold question

That is **four questions, ten marks**, from a statute you can read in twenty minutes. Note also what the questions were **not** about: none required a section number in isolation. They tested **nature and character** - is it voluntary, is it fundamental, who pairs with whom.

STUDY SESSION · CHAPTER F2.2 - THE FIVE SESSIONS

- 1 **Session 1** - Why unions needed a statute: conspiracy, and the 1918 Madras injunction (Section 1)
- 2 **Session 2** - Registration: who may apply, the numbers, and why it is voluntary (Section 2)
- 3 **Session 3** - The immunities and the funds - what registration actually buys (Section 3)
- 4 **Session 4 - Recognition**: the gap in the 1926 Act, and the IR Code's negotiating union and negotiating council (Section 4)
- 5 **Session 5** - The right to strike, and the Central federations with their affiliations (Sections 5 and 6)

Then **40 graded questions**. Budget **six sessions**, about **three days**.

1. Session 1 - Why Trade Unions Needed a Statute



A beginner assumes a union is simply a group of people, and that grouping needs no permission. Under the law as it stood, that assumption was wrong - and dangerously so.

1.1 The problem: combination as a criminal conspiracy

Before 1926, a trade union in India had **no legal status at all**. Worse, it was exposed on two fronts:

- 1 **Criminal conspiracy.** An agreement between two or more persons to do an act that would restrain trade, or would induce workers to break their contracts of employment, could be prosecuted as a **criminal conspiracy** under section 120B of the Indian Penal Code. Organising a strike was therefore potentially a **crime**
- 2 **Civil liability in tort.** A union and its office-bearers could be **sued for damages** by an employer for the losses caused by a strike - for inducing breach of contract, or for conspiracy to injure the employer's business. Since a union's funds were its members' subscriptions, one adverse decree could destroy it

WHY THIS EXISTS · THE 1918 MADRAS CASE THAT PRODUCED THE ACT

The precipitating event is worth knowing, because it makes the whole statute intelligible and because it is examinable.

B. P. Wadia had founded the **Madras Labour Union** in **1918**. The employer, the **Buckingham and Carnatic Mills**, obtained an **injunction from the Madras High Court** against the union's office-bearers, and a claim for damages, on the footing that the union was inducing workmen to break their contracts of employment.

The legal position was thus made explicit: **organising workers was actionable**. A union could be sued into extinction for doing the very thing it existed to do.

The agitation that followed - with support from the national movement and pressure flowing from India's membership of the newly created **ILO** - produced the **Trade Unions Act, 1926**, which came into force on **1 June 1927**.

So the Act's purpose is not to control unions. It is to protect them - by giving them a legal identity and, crucially, **immunity** from exactly the two liabilities above. That is why the immunities in Sections 17 and 18 are the heart of the statute, and why a question about "the object of the Act" should be answered in terms of protection and legal recognition, not regulation.

1.2 What the Act does, in four words

Identity, immunity, internal rules, accountability.

- 1 **Identity** - a registered union becomes a **body corporate** with perpetual succession and a common seal, able to contract, and to sue and be sued in its own name
- 2 **Immunity** - protection from prosecution for criminal conspiracy, and from civil suit in tort, in respect of legitimate trade union activity
- 3 **Internal rules** - requirements about objects, funds, office-bearers and constitution
- 4 **Accountability** - annual returns and audited accounts to the Registrar

JARGON DECODER · 'TRADE UNION' AS DEFINED - WIDER THAN YOU WOULD EXPECT

A **trade union** means any combination, whether temporary or permanent, formed **primarily** for the purpose of **regulating the relations**:

- 1 between **workmen and employers**, or
- 2 between **workmen and workmen**, or
- 3 between **employers and employers**

or for imposing restrictive conditions on the conduct of any trade or business.

Two points that get asked. First, it expressly includes any **federation** of two or more trade unions.

Second - and this surprises beginners - **an association of employers is also a trade union** under this Act. The definition is about **regulating relations in trade**, not about being a workers' body. So an employers' federation may register under the same Act.

CHECK YOURSELF · SESSION 1

- 1 What were the two legal exposures a trade union faced before 1926?
- 2 Which union, which employer and which High Court produced the 1918 injunction? Who founded the union?
- 3 Is the object of the 1926 Act to control unions or to protect them? Justify your answer from the structure of the Act
- 4 Give the Act's four functions in one word each
- 5 Can an association of **employers** register as a trade union? Why?

2. Session 2 - Registration ★★★★★

The single most examined feature of this Act is that registration is optional. Get that right and you have one mark almost guaranteed.

2.1 Registration is VOLUNTARY - the point the 2023 paper tested

MUST MASTER · REGISTRATION UNDER THE TRADE UNIONS ACT, 1926 IS NOT COMPULSORY

This was asked directly in 2023, and the answer is that registration is **voluntary and optional**. An unregistered union is **not illegal**. Workers may combine, hold meetings and present demands without registering. What an unregistered union **lacks** is the package registration confers - **corporate status** and, above all, the **statutory immunities**.

So the correct formulation is: **registration is optional, but without it a union has no legal personality and no immunity from civil suit or criminal conspiracy**. The Act induces registration by making it attractive, not by making it mandatory.

The distinction to hold clearly:

- 1 **Registration** - voluntary, under the 1926 Act, done by the **Registrar of Trade Unions**. It confers **legal status and immunity**
- 2 **Recognition** - an entirely different thing. It means the **employer accepting the union as the body it will negotiate with**. The **1926 Act does not provide for recognition at all**. See Session 4

Candidates conflate these two constantly. Registration is about the union's relationship with the **State**; recognition is about its relationship with the **employer**.

2.2 The numbers - who may apply, and how many members are needed

Requirement	The rule	Note
Minimum applicants	Seven or more members of a trade union may apply for registration by subscribing their names to the rules	The base figure. Seven is the number to remember
Minimum support at application	Not less than 10 per cent of the workmen, or 100 workmen, whichever is less , engaged in the establishment or industry - subject always to a minimum of seven	Inserted by the 2001 amendment , to stop the proliferation of tiny paper unions
Minimum to be maintained	At least seven members must be maintained at all times. If membership falls below that, registration may be cancelled	Also from the 2001 amendment

Membership requirements - learn all three figures

WORKED EXAMPLE · APPLYING THE 10 PER CENT OR 100 RULE

The phrase "**10 per cent or 100, whichever is less**" confuses beginners. Work it both ways and the logic appears.

- 1 **A small establishment with 400 workers.** Ten per cent is **40**; one hundred is 100. The lesser is **40**. So the union needs **40** members
- 2 **A large establishment with 5,000 workers.** Ten per cent is **500**; one hundred is 100. The lesser is **100**. So the union needs only **100** members

Notice the effect: "whichever is less" operates as a **ceiling on the requirement**. However large the establishment, you never need more than **100** members to register. The rule sets a floor against paper unions without making registration impossible in very large workplaces.

And the absolute minimum of **seven** always applies - so in an establishment with 50 workers, 10 per cent is 5, but you still need **seven**.

2.3 The Registrar, and the procedure

- 1 The **appropriate Government** appoints a **Registrar of Trade Unions** for each State, and may appoint Additional and Deputy Registrars
- 2 The application is made to the Registrar with a copy of the **rules** of the union and a statement giving the names, occupations and addresses of the members making the application, the name of the union and the address of its head office, and the titles, names, ages, addresses and occupations of its **office-bearers**
- 3 Where a union has been in existence for **more than one year**, a general statement of its **assets and liabilities** must also accompany the application
- 4 On being satisfied that the Act's requirements are complied with, the Registrar **shall register** the union and issue a **certificate of registration**, which is **conclusive evidence** of registration

Cancellation may follow on the union's own application, or where the Registrar is satisfied that the certificate was obtained by **fraud or mistake**, or that the union has **ceased to exist**, or has wilfully contravened the Act, or that membership has fallen below **seven**.

Appeal against refusal or cancellation lies to the **Principal Civil Court of original jurisdiction** in the district, or, where the head office is within the local limits of a High Court's ordinary original civil jurisdiction, to the **High Court**. A further appeal lies from the Civil Court's order to the appellate authority to which appeals from that court ordinarily lie.

2.4 The office-bearer rule

MUST MASTER · AT LEAST HALF THE OFFICE-BEARERS MUST BE ACTUAL WORKERS IN THE INDUSTRY

Not less than **one-half** of the total number of office-bearers of a registered trade union must be persons **actually engaged or employed in an industry with which the union is connected**.

The corollary is the part that gets asked: **not more than one-half may be "outsiders"** - lawyers, politicians and full-time union officials who do not work in the industry.

Two qualifications:

- 1 The **appropriate Government** may, by notification, **exempt** unions in the **unorganised sector** from this requirement, recognising that unorganised workers often cannot run a union without outside help
- 2 The rule was tightened by the **2001 amendment**, which was aimed at reducing the influence of professional outsiders on union leadership

Why the rule exists: a union led entirely by people who do not work in the industry is vulnerable to becoming a political vehicle rather than a workers' body. Requiring half the leadership to be actual workers keeps it anchored - though note that permitting up to half to be outsiders was itself a deliberate concession, because illiterate or vulnerable workforces genuinely needed experienced advocates.

CHECK YOURSELF · SESSION 2

- 1 Is registration compulsory? What does a union lose by not registering?
- 2 Distinguish registration from recognition in one sentence each
- 3 Give the three membership figures - to apply, to satisfy the support test, and to maintain
- 4 In an establishment of 3,000 workers, how many members are needed? In one of 200?
- 5 Where does an appeal against refusal of registration lie?
- 6 What fraction of office-bearers must be actual workers, and who may be exempted from the rule?

3. Session 3 - What Registration Buys: Immunities and Funds ★★★★★

These are the provisions that answer the 1918 problem, and they are the reason the Act exists.

3.1 The two immunities

Section	Immunity	What it protects against
17	Criminal conspiracy	No office-bearer or member of a registered trade union is punishable for criminal conspiracy under section 120B of the Indian Penal Code in respect of an agreement made between members for the purpose of furthering any lawful object of the union. The protection does not extend to an agreement to commit an offence
18	Civil suit in tort	No suit or other legal proceeding is maintainable in any civil court against a registered trade union, or its office-bearers or members, in respect of any act done in contemplation or furtherance of a trade dispute , on the ground merely that the act induces a breach of a contract of employment or interferes with the trade, business or employment of some other person

Sections 17 and 18 - the heart of the Act

BEGINNER MISTAKE · THE LIMITS OF THE IMMUNITIES - WHERE BEGINNERS OVERSTATE THEM

The immunities are **not** a general licence, and questions test the boundary.

- 1 **Section 17 does not protect an agreement to commit an offence.** A conspiracy to commit violence or criminal intimidation is not protected merely because a union agreed to it
- 2 **Section 18 protects against liability in TORT** for inducing breach of contract and interference with trade. It does **not** protect against **criminal** liability, and it does not protect **violence, intimidation or damage to property**
- 3 The act must be done "**in contemplation or furtherance of a trade dispute**". An act unconnected with a trade dispute gets no protection
- 4 Section 18 also provides that a registered trade union is **not liable** for a tortious act done by an **agent** without the union's assent, if the agent acted **without the knowledge or contrary to the express instructions** of the executive

The one-line summary: the Act immunises the **economic** consequences of legitimate collective action - lost production, broken contracts - and not **unlawful means**.

3.2 The two funds - general and political

This distinction is a favourite, because the rules differ sharply.

	General fund	Separate POLITICAL fund
Source	Subscriptions and other lawful receipts	Separate contributions, kept in a distinct fund
Is contribution compulsory?	Yes - it is the ordinary subscription	NO. No member may be compelled to contribute , and non-contribution cannot be a condition of admission or a ground for any disability

	General fund	Separate POLITICAL fund
What it may be spent on	Salaries of office-bearers, administration, legal proceedings, trade disputes, compensation to members for loss from a trade dispute, allowances on death, old age, sickness or unemployment, insurance, education of members and their dependants, publication of periodicals, and any other object notified by the appropriate Government	Promotion of the civic and political interests of members - payment of election expenses of a candidate, holding of political meetings, distribution of political literature, and maintenance of a person who is a member of a legislature or local authority

WHY THIS EXISTS · WHY THE POLITICAL FUND HAD TO BE SEPARATED - AND WHY IT STILL MATTERS

Trade unions in India are closely tied to political parties, as Session 6 will show. Left unregulated, a union could use compulsory subscriptions to fund a party that a given member did not support - compelling him, in effect, to finance political activity against his own convictions.

The Act's solution is elegant: political activity is **permitted** but must be funded from a **separate, voluntary** fund. A member may decline to contribute and may **suffer no disadvantage** for declining.

The exam point in one line: the general fund is compulsory and restricted in its objects; the **political fund is separate and voluntary**, and **no member can be compelled to contribute to it**.

3.3 Other administrative provisions worth a line each

- 1 **Change of name** - requires the consent of not less than **two-thirds** of the total number of members
- 2 **Amalgamation** - requires that votes of at least **one-half** of the members of each union are recorded, and that at least **60 per cent** of the votes recorded are in favour
- 3 **Dissolution** - notice signed by **seven** members and the secretary, sent to the Registrar within **fourteen days**
- 4 **Annual returns** - a general statement, audited, of receipts and expenditure and of assets and liabilities, must be sent annually to the Registrar
- 5 **Register of members** - and the **minimum age** for membership is **fifteen** years, though a minor member cannot be an office-bearer. The **minimum age to be an office-bearer** is **eighteen**

MEMORY TECHNIQUE · HOLDING THE FRACTIONS

- 1 **Change of name** - **two-thirds** of total members consent
- 2 **Amalgamation** - **half** vote, **60 per cent** of votes cast in favour
- 3 **Dissolution** - **seven** members plus the secretary, within **fourteen days**
- 4 **Office-bearers** - **one-half** must be actual workers
- 5 **Membership age 15; office-bearer age 18**

Notice that the harder the consequence, the higher the threshold - a name change is easier than a merger, which is easier than dissolution. That logic makes the numbers stick.

CHECK YOURSELF · SESSION 3

- 1 State Sections 17 and 18 and what each protects against
- 2 Name three things the immunities do **not** cover
- 3 Give four permitted objects of the general fund
- 4 Is contribution to the political fund compulsory? What may a union do to a member who refuses?
- 5 Give the thresholds for change of name, amalgamation and dissolution
- 6 What is the minimum age for membership, and for holding office?

4. Session 4 - Recognition: The Gap, and How the IR Code Filled It ★★★★★

This is the most important conceptual development in the chapter, and it is new law - which makes it very likely to be examined.

4.1 The gap in the 1926 Act

The Trade Unions Act 1926 provides for **registration**. It says **nothing about recognition** - that is, it does not oblige an employer to treat any particular union as the body it must negotiate with.

The consequence in practice was severe and is worth understanding:

- 1 An employer could **refuse to deal** with a union altogether, or could pick a compliant union and ignore a representative one
- 2 Where **many unions** existed in one establishment - a common Indian pattern, often reflecting rival political affiliations - there was no legal method of deciding **which** union spoke for the workforce
- 3 Attempts were made through the **Code of Discipline, 1958** and through some State legislation, but at the central level recognition remained **voluntary and unenforceable**

WHY THIS EXISTS · WHY MULTIPLICITY OF UNIONS WAS THE CENTRAL INDIAN PROBLEM

Recall Session 6 of the previous chapter: Indian unions grew up **attached to political parties**. AITUC to the communists, INTUC to the Congress, BMS to the Jana Sangh and later the BJP, CITU to the CPI(M).

The result was that a single factory might contain four or five unions, each with genuine members and each affiliated to a different party. This produced three chronic difficulties: **inter-union rivalry** was as intense as employer-worker conflict; **agreements** signed with one union were repudiated by others; and employers could **exploit** the division.

So the question "which union does the employer negotiate with?" was not a technicality. It was the central defect of Indian industrial relations for seventy years - and it is exactly the situation the 2023 paper described when it posed a question about **five trade unions in one establishment**.

4.2 The IR Code 2020 solution - negotiating union and negotiating council

MUST MASTER · THE 51 PER CENT AND 20 PER CENT RULE - LEARN THIS PRECISELY

The **Industrial Relations Code, 2020** finally supplies a statutory mechanism.

Case 1 - only one registered trade union in the establishment. That union is the **sole negotiating union**. No threshold applies.

Case 2 - more than one registered trade union. Then:

- 1 A union which has the support of **not less than 51 per cent** of the workers on the muster roll is recognised as the **sole negotiating union**
- 2 If **no** union commands 51 per cent, a **negotiating council** is constituted
- 3 The negotiating council consists of representatives of those unions having the support of **not less than 20 per cent** of the workers, with **one representative for each 20 per cent**

Worked through the 2023-style scenario. Take an establishment with **1,000** workers and five unions with support of 45 per cent, 25 per cent, 15 per cent, 10 per cent and 5 per cent.

- 1 No union has **51 per cent**, so there is **no sole negotiating union**
- 2 A **negotiating council** is formed
- 3 Unions with **20 per cent or more** qualify: the 45 per cent union and the 25 per cent union. The 15, 10 and 5 per cent unions **do not qualify**
- 4 Seats are **one per 20 per cent**: the 45 per cent union gets **two** representatives, the 25 per cent union gets **one**

Also learn: an agreement concluded by the negotiating council binds where it is signed by representatives of unions representing not less than a specified proportion of workers, and **recognition once conferred subsists for the period prescribed**, which prevents constant re-contests.

KNOW · TWO FURTHER IR CODE INNOVATIONS ON THE COLLECTIVE SIDE

- 1 **Recognition of trade unions at Central and State level.** The Central or State Government may recognise a trade union or federation as a **Central** or **State** trade union, which is the statutory basis for the tripartite consultation seats the big federations occupy
- 2 **Grievance Redressal Committee** - every industrial establishment employing **twenty or more** workers must constitute one, with not more than **ten** members and with **adequate representation of women workers**. This is the individual-grievance counterpart to collective negotiation, and it gives effect to **Article 43A**, worker participation in management

CHECK YOURSELF · SESSION 4

- 1 Does the 1926 Act provide for recognition? What were the three consequences of the gap?
- 2 Why did multiplicity of unions arise in India?
- 3 State the 51 per cent rule and the 20 per cent rule
- 4 An establishment of 2,000 workers has unions with 48, 22, 18 and 12 per cent support. Is there a sole negotiating union? Who sits on the negotiating council, and with how many representatives each?
- 5 What is the threshold for a Grievance Redressal Committee, and its maximum size?

5. Session 5a - The Right to Strike ★★★★★

Asked directly in 2023. The answer turns on a distinction you already learned in Chapter F1.3, and this section completes it.

MUST MASTER · FORMING A UNION IS A FUNDAMENTAL RIGHT. STRIKING IS A STATUTORY RIGHT

- 1 **Article 19(1)(c)** guarantees the freedom to form **associations or unions**. Forming and joining a trade union is therefore a **fundamental right**
- 2 The **right to strike is NOT a fundamental right**. The courts have consistently held that it is a **statutory** right - conferred, and therefore limited, by industrial relations legislation
- 3 Because it is statutory, it is subject to whatever **conditions and prohibitions** the statute imposes - notice periods, prohibited periods, and consequences of illegality

This was **Q115 in 2023**. If you answer "fundamental right under Article 19(1)(c)" you lose the mark, because that clause protects **association**, not **industrial action**.

5.1 The conditions on a lawful strike

Condition	Industrial Disputes Act 1947	IR Code 2020
Notice	14 days' notice required, but only in public utility services . No notice needed elsewhere	14 days' notice for ALL industrial establishments . A major extension
Notice validity	Strike may not begin before the notice period expires, and the notice lapses after six weeks	Same structure - within 60 days of notice
During conciliation	Prohibited during conciliation proceedings and seven days after their conclusion	Same
During adjudication	Prohibited during proceedings before a Labour Court, Tribunal or National Tribunal and two months after conclusion	Prohibited during proceedings before a Tribunal and 60 days after
During arbitration	Prohibited during arbitration proceedings and two months after	Same, 60 days
During a settlement or award	Prohibited in respect of any matter covered by a settlement or award, while it remains in operation	Same

Strike conditions - the Code extended the old public utility rules to ALL establishments

MUST MASTER · THE DEFINITION OF 'STRIKE' - AND THE TWO ADDITIONS THE CODE MADE

A **strike** means a **cessation of work** by a body of persons employed in any industry acting **in combination**, or a **concerted refusal**, or a **refusal under a common understanding**, of any number of persons who have been so employed to continue to work or to accept employment.

Note the essential ingredients: **cessation or refusal**, by a **body of persons**, acting **in combination or under a common understanding**. An individual who stops working is absent; he is not on strike.

The IR Code added to the definition:

- 1 **Casual leave taken in concert by more than 50 per cent** of the workers on a given day is deemed to be a strike. This closes the "mass casual leave" device
- 2 The definition covers concerted refusal to work overtime where such refusal is in breach of the terms of employment

JARGON DECODER · STRIKE, LOCKOUT, LAYOFF, RETRENCHMENT, CLOSURE - FIVE WORDS BEGINNERS MIX UP

Sort them by **who acts** and **whether the relationship ends**. This table is worth more than any amount of re-reading.

Term	Who acts	Relationship	Meaning
Strike	Workers	Continues	Concerted cessation of work
Lock-out	Employer	Continues	Temporary closing of the place of employment, or suspension of work, or refusal to continue to employ - the employer's counterpart to a strike
Lay-off	Employer	Continues	Employer is unable to give employment - shortage of coal, power, raw material, breakdown, accumulation of stocks. Not a punishment, and the worker remains on the rolls
Retrenchment	Employer	Ends	Termination for any reason other than punishment by way of disciplinary action - and expressly excluding voluntary retirement, superannuation, non-renewal of a contract, and termination on continued ill-health
Closure	Employer	Ends	Permanent closing down of a place of employment or part of it

The test to apply: does the **employer** or the **worker** initiate it, and does the **employment relationship survive**? Lay-off preserves the relationship; retrenchment and closure end it. This distinction decides which compensation provisions apply, and it is examined every year in some form.

6. Session 5b - The Central Trade Union Federations



A matching question on exactly this appeared as Q27 in 2023. It is pure recall and therefore a guaranteed mark if learned.

MUST MASTER · FEDERATION AND POLITICAL AFFILIATION - THE 2023 MATCHING QUESTION

Federation	Full name	Founded	Political affiliation
AITUC	All India Trade Union Congress	1920	Communist Party of India (CPI)
INTUC	Indian National Trade Union Congress	1947	Indian National Congress
HMS	Hind Mazdoor Sabha	1948	Socialist
UTUC	United Trade Union Congress	1949	Left
BMS	Bharatiya Mazdoor Sangh	1955	Bharatiya Janata Party and the RSS family
CITU	Centre of Indian Trade Unions	1970	Communist Party of India (Marxist)
SEWA	Self Employed Women's Association	1972	Independent - unorganised women workers

The four pairings the 2023 question actually used:

- 1 Centre of Indian Trade Unions (CITU) - Communist Party of India (Marxist)**
- 2 Indian National Trade Union Congress (INTUC) - Indian National Congress**
- 3 Bharatiya Mazdoor Sangh (BMS) - Bharatiya Janata Party**
- 4 All India Trade Union Congress (AITUC) - Communist Party of India**

The trap to watch. The paper printed the name as "**Bharatiya Sangh Mazdoor**", with the words transposed. The correct name is **Bharatiya Mazdoor Sangh**. Do not be thrown by a garbled stem - identify the body from the recognisable words.

And the distinction that decides the question: AITUC goes with the CPI, CITU goes with the CPI(Marxist). Both are communist, and the split in 1964 that created the CPI(M) is why there are two. **CITU is the newer one (1970) and belongs to the newer party.** Match newest to newest and oldest to oldest.

MEMORY TECHNIQUE · CHRONOLOGY AS A MEMORY DEVICE

1920 AITUC (pre-Independence, CPI) → **1947 INTUC** (Independence year, Congress) → **1948 HMS** (Socialist) → **1955 BMS** (BJP family) → **1970 CITU** (after the 1964 CPI split, so CPI-M) → **1972 SEWA**. Two anchors: **AITUC is the oldest at 1920 and is the one Lajpat Rai first presided over; INTUC was founded in 1947**, the year of Independence, by the Congress.

CHECK YOURSELF · SESSION 5

- 1 Is the right to strike fundamental or statutory? Which Article protects what?
- 2 Give the notice period for a strike under the old Act and under the Code, and state what changed
- 3 Name three periods during which a strike is prohibited
- 4 Define strike. What did the IR Code add about casual leave?
- 5 Distinguish lay-off from retrenchment by two tests
- 6 Match AITUC, INTUC, BMS and CITU to their parties, and explain why there are two communist federations

7. Graded Practice - 40 Questions ★★★★★

7.1 Level 1 - Recognition

Q. 1. Registration of a trade union under the Trade Unions Act, 1926 is

(a) compulsory for all trade unions (b) voluntary and optional (c) compulsory only in public utility services (d) compulsory where there are more than 100 members

Q. 2. The minimum number of members who may apply for registration of a trade union is

(a) five (b) seven (c) ten (d) twenty

Q. 3. The Trade Unions Act, 1926 came into force on

(a) 1 June 1926 (b) 1 June 1927 (c) 1 April 1927 (d) 1 January 1928

Q. 4. A registered trade union must maintain a minimum membership of

(a) five (b) seven (c) ten (d) fifteen

Q. 5. Immunity from punishment for criminal conspiracy is conferred by

(a) Section 15 (b) Section 16 (c) Section 17 (d) Section 18

Q. 6. Immunity from civil suit in certain cases is conferred by

(a) Section 16 (b) Section 17 (c) Section 18 (d) Section 22

Q. 7. The minimum age for membership of a registered trade union is

(a) 14 years (b) 15 years (c) 16 years (d) 18 years

Q. 8. The minimum age for being an office-bearer of a registered trade union is

(a) 15 years (b) 16 years (c) 18 years (d) 21 years

Q. 9. What proportion of the office-bearers of a registered trade union must be persons actually engaged in the industry?

(a) One-third (b) One-half (c) Two-thirds (d) All of them

Q. 10. Under the Industrial Relations Code, 2020, a union is recognised as the sole negotiating union if it has the support of

(a) 30 per cent of workers (b) 40 per cent of workers (c) 51 per cent of workers (d) 66 per cent of workers

Q. 11. Representation on a negotiating council requires the support of at least

(a) 10 per cent of workers (b) 20 per cent of workers (c) 25 per cent of workers (d) 33 per cent of workers

Q. 12. The All India Trade Union Congress was founded in

(a) 1918 (b) 1920 (c) 1926 (d) 1947

Q. 13. The Indian National Trade Union Congress is affiliated to

(a) the Communist Party of India (b) the Communist Party of India (Marxist) (c) the Indian National Congress (d) the Bharatiya Janata Party

Q. 14. The Centre of Indian Trade Unions is affiliated to

(a) the Communist Party of India (b) the Communist Party of India (Marxist) (c) the Indian National Congress (d) the Socialist Party

Q. 15. A Grievance Redressal Committee under the IR Code is required in an establishment employing

(a) 10 or more workers (b) 20 or more workers (c) 50 or more workers (d) 100 or more workers

7.2 Level 2 - Understanding

Q. 16. The Trade Unions Act, 1926 was enacted principally in order to

(a) control and regulate the activities of trade unions (b) confer legal status on trade unions and protect them from civil and criminal liability for legitimate activity (c) make registration compulsory (d) prohibit strikes in public utility services

Q. 17. Before 1926, organising a strike could be prosecuted as

(a) sedition (b) criminal conspiracy (c) unlawful assembly (d) breach of the peace

Q. 18. The union whose office-bearers were restrained by injunction in 1918, leading eventually to the 1926 Act, was the

(a) Bombay Mill Hands Association (b) Madras Labour Union (c) Ahmedabad Textile Labour Association (d) All India Trade Union Congress

Q. 19. An association of employers

(a) cannot register under the Trade Unions Act, 1926 (b) may register, since the definition of trade union covers combinations regulating relations between employers and employers (c) may register only with the approval of the Central Government (d) must register under the Companies Act instead

Q. 20. In an establishment with 4,000 workers, the minimum membership required for registration of a trade union is

(a) 40 (b) 100 (c) 400 (d) 700

Q. 21. In an establishment with 300 workers, the minimum membership required is

(a) 7 (b) 30 (c) 100 (d) 300

Q. 22. Contribution to the separate political fund of a registered trade union is

(a) compulsory for all members (b) compulsory only for office-bearers (c) voluntary, and no member may be compelled to contribute (d) prohibited altogether

Q. 23. Which one of the following is not a permissible object of the general fund?

(a) Salaries of office-bearers (b) Compensation to members for loss arising out of a trade dispute (c) Payment of the election expenses of a candidate for a legislature (d) Education of members and their dependants

Q. 24. The immunity under Section 18 does not extend to

(a) inducing a breach of a contract of employment in furtherance of a trade dispute (b) interference with the employer's trade in furtherance of a trade dispute (c) acts of violence and damage to property (d) a lawful strike causing loss of production

Q. 25. Change of name of a registered trade union requires the consent of

(a) a simple majority of members (b) one-half of the total members (c) two-thirds of the total number of members (d) all the members

Q. 26. Registration and recognition differ in that

(a) they are two names for the same process (b) registration concerns the union's legal status vis-a-vis the State; recognition concerns the employer's acceptance of the union as the body it will negotiate with (c) recognition is under the 1926 Act and registration under the IR Code (d) recognition is voluntary and registration compulsory

Q. 27. The right of workers to resort to strike is

(a) a fundamental right under Article 19(1)(a) (b) a fundamental right under Article 19(1)(c) (c) a statutory right subject to statutory conditions (d) a directive principle under Article 43A

Q. 28. Under the IR Code, 2020, notice of strike is required

(a) only in public utility services (b) in all industrial establishments (c) only where the union has 51 per cent support (d) nowhere, notice having been abolished

Q. 29. Under the IR Code, casual leave taken in concert is deemed to be a strike where it is taken by

(a) more than 25 per cent of workers (b) more than 33 per cent of workers (c) more than 50 per cent of workers (d) all the workers

Q. 30. Which one of the following distinguishes lay-off from retrenchment?

(a) Lay-off is initiated by workers, retrenchment by the employer (b) In lay-off the employment relationship continues; in retrenchment it is terminated (c) Lay-off applies only to factories (d) Retrenchment requires no compensation

7.3 Level 3 - Recruitment Test standard**Q. 31. Match List-I with List-II and select the correct answer using the code below:**

List-I (Federation)	List-II (Political party)
A. Centre of Indian Trade Unions	1. Indian National Congress
B. Indian National Trade Union Congress	2. Bharatiya Janata Party
C. Bharatiya Mazdoor Sangh	3. Communist Party of India
D. All India Trade Union Congress	4. Communist Party of India (Marxist)

(a) A-4 B-1 C-2 D-3 (b) A-3 B-1 C-2 D-4 (c) A-4 B-2 C-1 D-3 (d) A-3 B-2 C-1 D-4

Q. 32. An establishment has 1,000 workers and five registered unions with support of 45, 25, 15, 10 and 5 per cent respectively. Which one of the following is correct?

(a) The union with 45 per cent is the sole negotiating union (b) A negotiating council is formed with representatives of the 45 and 25 per cent unions, having two and one representatives respectively (c) A negotiating council is formed with all five unions represented (d) No negotiating machinery can be constituted

Q. 33. Consider the following statements:

- 1 Registration of a trade union confers on it the status of a body corporate with perpetual succession.
- 2 An unregistered trade union is illegal.
- 3 The Trade Unions Act, 1926 makes no provision for recognition of a trade union by the employer.

Which of the above statements are correct?

(a) 1 and 2 only (b) 1 and 3 only (c) 2 and 3 only (d) 1, 2 and 3

Q. 34. Which one of the following statements is not correct?

(a) Not more than one-half of the office-bearers may be persons not employed in the industry (b) The appropriate Government may exempt unions in the unorganised sector from the office-bearer requirement (c) The office-bearer requirement was tightened by the amendment of 2001 (d) All office-bearers must be employed in the industry concerned

Q. 35. A strike is prohibited during

- 1 conciliation proceedings and seven days after their conclusion
- 2 proceedings before a Tribunal and sixty days after their conclusion
- 3 the operation of a settlement, in respect of matters covered by it

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 36. Appeal against the refusal of the Registrar to register a trade union lies to

(a) the Labour Court (b) the Industrial Tribunal (c) the Principal Civil Court of original jurisdiction, or the High Court where the head office is within its ordinary original civil jurisdiction (d) the appropriate Government

Q. 37. Which one of the following pairs is not correctly matched?

(a) Bharatiya Mazdoor Sangh - 1955 (b) Indian National Trade Union Congress - 1947 (c) Centre of Indian Trade Unions - 1920 (d) Hind Mazdoor Sabha - 1948

Q. 38. Consider the following statements about the definition of "strike":

- 1 It requires a cessation of work by a body of persons acting in combination or under a common understanding.
- 2 An individual worker who absents himself from work is on strike.
- 3 A concerted refusal to work overtime may amount to a strike where such refusal breaches the terms of employment.

Which of the above statements are correct?

(a) 1 and 2 only (b) 1 and 3 only (c) 2 and 3 only (d) 1, 2 and 3

Q. 39. Amalgamation of two registered trade unions requires that

(a) a simple majority of the members of each union vote in favour (b) votes of at least one-half of the members of each union are recorded and at least 60 per cent of the votes recorded are in favour (c) two-thirds of the total members of each union consent (d) the Registrar approves without any ballot

Q. 40. The reason India has two major communist-affiliated trade union federations is that

(a) one represents organised and the other unorganised workers (b) AITUC is affiliated to the CPI while CITU, founded in 1970, is affiliated to the CPI (Marxist) which arose from the 1964 split (c) one is a central federation and the other a State federation (d) AITUC was derecognised and CITU replaced it

8. Answers and Explanations

8.1 Level 1

Q	Ans	Explanation
1	b	Voluntary. Asked in 2023. An unregistered union is lawful but has no corporate status and no immunities
2	b	Seven or more members may apply
3	b	1 June 1927 - the Act is of 1926 but came into force in 1927, a neat distractor pair
4	b	Seven , from the 2001 amendment. Falling below is a ground for cancellation
5	c	Section 17 - criminal conspiracy under IPC section 120B
6	c	Section 18 - civil suit in tort
7	b	15 years for membership
8	c	18 years to be an office-bearer
9	b	One-half must be actually engaged in the industry
10	c	51 per cent of workers on the muster roll
11	b	20 per cent , with one representative per 20 per cent
12	b	1920 , first president Lala Lajpat Rai
13	c	Indian National Congress
14	b	CPI (Marxist) - CITU is the newer federation and belongs to the newer party
15	b	20 or more workers, with not more than 10 members

8.2 Level 2

Q	Ans	Explanation
16	b	Protection , not control. The immunities in Sections 17 and 18 are the heart of the Act, answering the pre-1926 exposure
17	b	Criminal conspiracy under IPC section 120B - which is why Section 17 exists
18	b	The Madras Labour Union , founded by B. P. Wadia in 1918; the employer was the Buckingham and Carnatic Mills
19	b	Yes. The definition covers combinations regulating relations between employers and employers , so an employers' association may register
20	b	10 per cent of 4,000 is 400; 100 is less; so 100 . "Whichever is less" caps the requirement at 100
21	b	10 per cent of 300 is 30 ; 100 is more; so the lesser is 30
22	c	Voluntary , and no member may be compelled or placed under any disability for not contributing
23	c	Election expenses are a political fund object, not a general fund object. The other three are general fund objects
24	c	Violence and damage to property get no protection. Section 18 immunises the economic consequences of lawful collective action, not unlawful means
25	c	Two-thirds of the total number of members

Q	Ans	Explanation
26	b	Registration concerns status vis-a-vis the State ; recognition concerns acceptance by the employer . Both statements in (c) and (d) invert the position
27	c	Statutory . Article 19(1)(c) protects association , not industrial action. Asked as Q115 in 2023
28	b	All industrial establishments - the Code extended the 14-day notice requirement beyond public utility services
29	c	More than 50 per cent - the provision closing the mass casual leave device
30	b	Lay-off preserves the employment relationship; retrenchment terminates it . Both are employer acts, so (a) is wrong

8.3 Level 3

Q	Ans	Explanation
31	a	A-4 CITU with CPI(M); B-1 INTUC with Congress; C-2 BMS with BJP; D-3 AITUC with CPI. This is the 2023 question
32	b	No union reaches 51 per cent , so a negotiating council is formed. Only unions with 20 per cent or more qualify - the 45 and 25 per cent unions. Seats are one per 20 per cent, giving two and one
33	b	1 and 3 only . Statement 2 is wrong - an unregistered union is not illegal ; it simply lacks corporate status and immunity
34	d	Not all office-bearers need be employed in the industry - up to one-half may be outsiders . The other three statements are correct
35	d	All three . Conciliation plus seven days, Tribunal proceedings plus sixty days under the Code, and matters covered by a subsisting settlement or award
36	c	The Principal Civil Court of original jurisdiction , or the High Court where the head office lies within its ordinary original civil jurisdiction. Note it is not a labour forum
37	c	CITU was founded in 1970 , not 1920. 1920 is AITUC . The other three pairs are correct
38	b	1 and 3 only . Statement 2 is wrong - an individual absenting himself is absent , not on strike; a strike requires a body of persons acting in combination
39	b	Half must vote, and 60 per cent of votes recorded must be in favour . Note it is 60 per cent of votes cast , not of total membership
40	b	The 1964 split in the CPI produced the CPI(M), and CITU was founded in 1970 as its labour wing, while AITUC (1920) remained with the CPI. Match newest to newest

9. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F2.2 - TRADE UNIONS

WHY THE ACT EXISTS before 1926 a union faced **criminal conspiracy** (IPC 120B) and **civil suit in tort** · **1918 Madras Labour Union, B. P. Wadia, Buckingham and Carnatic Mills injunction** ·

Act of **1926**, in force **1 June 1927** · purpose is **PROTECTION not control**

DEFINITION combination, temporary or permanent, regulating relations **workmen-employers, workmen-workmen** or **employers-employers** · includes **federations** · **an employers' association CAN register**

REGISTRATION IS VOLUNTARY (asked 2023) · unregistered union is **NOT illegal**, it merely lacks **corporate status and immunity** · **REGISTRATION = status vs the STATE** · **RECOGNITION = acceptance by the EMPLOYER**

NUMBERS apply with **7 or more** · support of **10% or 100 workmen, WHICHEVER IS LESS**, minimum **7** (2001 amendment) · maintain **7** · membership age **15**, office-bearer age **18** · **at least ONE-HALF of office-bearers must be actual workers**, so **not more than half may be outsiders**, unorganised sector may be **exempted**

REGISTRAR appointed by appropriate Government · certificate is **conclusive evidence** · cancellation for fraud, mistake, ceasing to exist, contravention, or membership below **7** · **APPEAL to the PRINCIPAL CIVIL COURT of original jurisdiction, or the HIGH COURT** if head office is within its ordinary original civil jurisdiction

IMMUNITIES s.17 criminal conspiracy - not for an agreement to commit an **offence** · **s.18 civil suit in tort** - for acts in **contemplation or furtherance of a trade dispute**, inducing breach of employment contract or interfering with trade · **NEITHER covers violence, intimidation or damage to property**

FUNDS general fund compulsory, restricted objects - salaries, administration, legal proceedings, trade disputes, compensation for loss, benefits on death/old age/sickness/unemployment, insurance, education, periodicals · **SEPARATE POLITICAL FUND - VOLUNTARY, no member may be compelled, no disability for refusing** - election expenses, political meetings, literature, maintenance of a legislator

FRACTIONS change of name **two-thirds of total members** · amalgamation **half vote + 60% of votes recorded in favour** · dissolution **7 members + secretary within 14 days** · annual audited returns to Registrar

THE RECOGNITION GAP the **1926 Act** provides **NO recognition** · multiplicity of unions arose from **political affiliation** · Code of Discipline **1958** was voluntary

IR CODE 2020 - THE 51 AND 20 RULE one union → **sole negotiating union** · more than one → union with **51% or more** is **sole negotiating union** · if none has 51% → **NEGOTIATING COUNCIL** of unions with **20% or more, one representative per 20%** · **Grievance Redressal Committee at 20 or more workers, max 10 members**, with women's representation - gives effect to **Art 43A**

STRIKE NOT a fundamental right - STATUTORY (asked 2023) · **Art 19(1)(c) protects**

ASSOCIATION only · notice **14 days**, old Act **public utility only, Code ALL establishments** ·

prohibited during **conciliation + 7 days, Tribunal + 60 days, arbitration + 60 days**, and matters under a subsisting settlement or award · definition needs **cessation by a BODY acting in**

combination · **Code deems concerted casual leave by more than 50% to be a strike**

FIVE WORDS strike workers, relationship continues · **lock-out** employer, continues · **lay-off**

employer **unable** to give work, continues · **retrenchment** employer, relationship **ENDS**, excludes voluntary retirement, superannuation, non-renewal, ill-health · **closure** permanent, **ENDS**

FEDERATIONS AITUC 1920 - CPI · INTUC 1947 - Congress · HMS 1948 - Socialist · UTUC 1949

· **BMS 1955 - BJP · CITU 1970 - CPI(M) · SEWA 1972** · two communist federations because of the **1964 CPI split - newest to newest, CITU to CPI(M)**

10. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F2.2 - TRADE UNIONS**REGISTRATION VOLUNTARY · RECOGNITION NOT IN THE 1926 ACT AT ALL****7 to apply · 10% or 100 whichever is LESS · 7 to maintain · age 15 member, 18****office-bearer · HALF of office-bearers must be actual workers****s.17 conspiracy · s.18 tort · neither covers violence****POLITICAL FUND = SEPARATE AND VOLUNTARY****name 2/3 · amalgamation half vote + 60% of votes · dissolution 7 + 14 days****APPEAL = PRINCIPAL CIVIL COURT / HIGH COURT** (not a labour court)**IR CODE: 51% = SOLE NEGOTIATING UNION · no 51% → COUNCIL of unions with 20%+, ONE SEAT PER 20%****GRC at 20 workers, max 10****STRIKE = STATUTORY, NOT FUNDAMENTAL · 19(1)(c) = association only · 14 days' notice,****now ALL establishments · conciliation + 7 · Tribunal + 60 · concerted casual leave by >50% = strike****LAY-OFF keeps the job · RETRENCHMENT and CLOSURE end it****AITUC 1920 CPI · INTUC 1947 CONGRESS · BMS 1955 BJP · CITU 1970 CPI(M) · newest to newest****ACTION · NEXT IN THE FOUNDATION TRACK**

Chapter F2.3 - The Industrial Disputes Act, 1947 and the Industrial Relations Code. The largest single statute in this module, containing the dispute settlement machinery, the lay-off, retrenchment and closure provisions with their compensation formulas, and the **100 versus 300** worker threshold that is among the most examined numbers in the whole paper.